

4-5 Illustration of the Accounting Cycle

In this section, the complete accounting cycle for one period is illustrated. Assume that for several years Kelly Pitney has operated a part-time consulting business from her home. As of April 1, 20Y8, Kelly decided to move to rented quarters and to operate the business on a full-time basis. The business will be known as Kelly Consulting. During April, Kelly Consulting entered into the following transactions:

Objective 5 - Illustrate the accounting cycle for one period.

- Apr.
1.

The following assets were received from Kelly Pitney in exchange for common stock: cash, \$13,100; accounts receivable, \$3,000; supplies, \$1,400; and office equipment, \$12,500. There were no liabilities received.
1.

Paid three months' rent on a lease rental contract, \$4,800.
2.

Paid the premiums on property and casualty insurance policies, \$1,800.
4.

Received cash from clients as an advance payment for services to be provided and recorded it as unearned fees, \$5,000.
5.

Purchased additional office equipment on account from Office Station Co., \$2,000.
6.

Received cash from clients on account, \$1,800.
10.

Paid cash for a newspaper advertisement, \$120.
12.

Paid Office Station Co. for part of the debt incurred on April 5, \$1,200.
12.

Recorded services provided on account for the period April 1–12, \$4,200.
14.

Paid part-time receptionist for two weeks' salary, \$750.

17. Recorded cash from cash clients for fees earned during the period April 1–16, \$6,250.
18. Paid cash for supplies, \$800.
20. Recorded services provided on account for the period April 13–20, \$2,100.
24. Recorded cash from cash clients for fees earned for the period April 17–24, \$3,850.
26. Received cash from clients on account, \$5,600.
27. Paid part-time receptionist for two weeks' salary, \$750.
29. Paid telephone bill for April, \$130.
30. Paid electricity bill for April, \$200.
30. Recorded cash from cash clients for fees earned for the period April 25–30, \$3,050.
30. Recorded services provided on account for the remainder of April, \$1,500.
30. Paid dividends, \$6,000.